

to zero over the same period. In both cases, the local average is more useful than the national figure for estimating a home's future appreciation.

On the other hand, you might look at your market and think that historical averages are no longer useful for predicting the future. If you live in San Francisco—an area that has seen massive appreciation in recent years—you might speculate that high housing prices combined with increasing opportunities for remote work will motivate professionals to leave in favor of more affordable cities. Maybe you live in an area that hasn't appreciated much in the past, but a local organic bakery was featured on Food Network, and your town has been “discovered.” In either case, appreciation rates could deviate significantly from their previous averages.

In addition, past performance is not a guarantee of future success. A Denver investor might also assume that appreciation will slow down over the next twenty years because they feel that prices simply can't climb much higher than they are today. The Detroit investor might think that Detroit is about to hit a growth spurt and prices will increase over the next few decades.

The best you can do is try to understand the basics of your market and make an assumption you can live with. Is your city a growing metropolis with lifestyle opportunities and jobs that are likely to attract more high-earning professionals over time? Or is your area on the decline, with more people leaving than moving in every year? Ask yourself about the specifics of this location in the context of the recent past and foreseeable future, and you'll be in a better position to ballpark long-term appreciation at, above, or below the national average of 3.4 percent.

Why is the exactness of this number important, you ask? Two, 3, 4 percent—it's all adding some sort of value, right? The truth is, a few percentage points can throw off the numbers considerably. For example, that \$400,000 home in our previous example would be worth \$473,000 after five years at the 3.4 percent national average appreciation rate. What if that house had been in Nashville, which has seen a massive 6 percent average annual increase in value? In that same period of time with an ongoing rate of growth, that house would be worth \$535,000—which is a huge overall difference for just a few percentage points.

Exciting equity aside, this rate is one of the key factors behind your decision to buy or rent—it changes that critical break-even point